Flex Ltd. | NASDAQ: FLEX

Sector: Technology • Sub-sector: Electronics Manufacturing Services (EMS) / AI Data-Center Infrastructure

RATING

HOLD

Conviction: Medium

12M Target: $152

Downside: -6.1% vs CMP

CMP (03 Jun 2026)	**$161.94**
Market Cap	**$59.33 Bn**
Enterprise Value	**$62.10 Bn**
52-Week Range	**$42.31 – $166.86**
P/E (TTM)	**69.5x**
Forward P/E (FY27E)	**35.7x**
EV / EBITDA (TTM)	**30.2x**
Price / Book	**11.3x**
ROE (TTM)	**17.4%**
Net Debt / EBITDA	**1.0x**
Dividend Yield	**Nil**
Beta (5Y)	**1.45**

Investment thesis (one line): Best-in-class EMS franchise with a real AI-data-center power catalyst — but the price has already run past it.

Investment horizon: 12 months. **Report date:** 03 June 2026. **Analyst:** MPM Institutional Equities desk.

All financial data sourced character-for-character from stockanalysis.com (Flex + peers), fetched 03 Jun 2026; fiscal year ends 31 March. Qualitative context from Flex Q4 FY26 earnings call (5 May 2026), FY26 10-K and press releases. Figures in US$ millions unless stated.

2 — INVESTMENT THESIS

- **AI data-center power is a structural growth engine:** The new Cloud & Power Infrastructure (CPI) segment (~$5.9bn FY26 revenue, +38% YoY) is guided to grow 65–75% in FY27 and 80%+ in FY28 — the fastest-growing data-center power & thermal franchise inside any EMS, anchored by a multiyear Google contract plus neocloud and utility customers.
- **Self-help margin story is real, not hoped-for:** Adjusted operating margin hit 6.7% in Q4 FY26 — the sixth straight quarter at 6%+ — and record adjusted gross margin of 9.9%. FY27 guidance lifts adjusted operating margin a further ~80bps to 7.0–7.1%, a structural step-up for a sub-4% legacy EMS.
- **A value-unlock catalyst is dated:** The tax-free spin-off of CPI into a standalone listed company, targeted for Q1 calendar-2027, separates a hyper-growth AI-infrastructure pure-play from a steady cash-generative EMS — a sum-of-the-parts re-rating event with a defined timeline.
- **Aggressive capital return shrinks the float:** $944m of buybacks in FY26 (~19m shares, ~5% of the count) on top of ~$1.1bn free cash flow; share count has fallen from ~461m (FY22) to ~366m, mechanically lifting EPS.
- **Near-term catalyst (6–12 months):** CPI spin-off Form-10 filing and SpinCo financials disclosure, plus Q1 FY27 results (23 Jul 2026) — the first datapoint on the steep CPI ramp and FY27 guide credibility.
- **Biggest structural risk:** The thesis is now a valuation problem, not a business problem. At 69x trailing / ~37x forward earnings and 30x EV/EBITDA — versus a 9–13x historical band — the stock already discounts flawless execution and trades ABOVE the Street's own consensus price target ($157.50).

3 — BUSINESS OVERVIEW

- **What it does:** Flex is a global contract manufacturer and supply-chain solutions provider (149,686 employees) — it designs, builds, and delivers electronics and integrated systems for data-center, communications, automotive, healthcare, industrial and power customers across the Americas, Asia and Europe.

• **Three reporting segments (FY26):** Integrated Technology Solutions / ITS (~$11.8bn) — comms, enterprise, cloud, lifestyle & consumer devices; Regulated Manufacturing Solutions / RMS (~$10.2bn, +5%) — automotive, health solutions, industrial; Cloud & Power Infrastructure / CPI (~$5.9bn, +38%) — data-center cloud build, embedded/distributed/utility-grade power and thermal.

• **Q4 FY26 segment momentum:** ITS $2.9bn (+13%, comms-led), RMS $2.7bn (+13%, industrial & healthcare), CPI $1.8bn (+31%) — the data-center franchise is the swing factor.

• **Customer base:** Top-10 customers = 45% of net sales with no single customer above 10% — concentrated but diversified across hyperscalers, colos, neoclouds and utilities; relationships are multiyear and program-based rather than spot.

• **Recent strategic moves:** Completed the Nextracker spin-off (Jan 2024); built out the power franchise via acquisitions (incl. the recently-closed EP2 utility-grade power / grid-modernisation deal); consolidated all data-center power & cloud into the new CPI segment ahead of the planned spin.

• **Ownership & governance:** No promoter/family block — ~100% institutionally held, insiders ~0.6%. CEO Revathi Advaithi (since 2019) will move to lead SpinCo; Michael Hartung (CCO, with Flex via Solectron since 2007) becomes Flex CEO post-spin.

4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Market:** Global EMS/ODM is a ~$500bn+ industry growing low-single-digits, but the data-center physical-infrastructure sub-segment (power, cooling, rack/pod integration) is compounding 20–30%+ on AI capex — the entire industry has re-rated on this single vector.

• **Tailwinds:** Hyperscaler + neocloud AI capex super-cycle, electrification/grid build-out, reshoring/regionalisation of supply chains, and a shift to liquid cooling & engineered power-and-thermal systems (Flex's sweet spot).

• **Headwinds:** Tariff/trade volatility, customer capex cyclicality, component lead-time swings, and an AI-spending air-pocket risk if hyperscaler ROI disappoints.

• **Moat — Scale: Strong.** Top-2 global EMS footprint; few peers can integrate power + cooling + compute into one tested rack/pod at Flex's scale.

• **Moat — Switching costs: Moderate.** Multiyear design-embedded programs are sticky, but customers dual-source and EMS is fundamentally a low-margin, contestable business.

• **Moat — Pricing power: Weak-to-Moderate.** Gross margins ~9–10% even after record expansion; value is in vertical integration and speed, not price-setting.

• **Positioning:** Migrating up the value chain from build-to-print EMS toward a full-stack 'design-build-deploy' critical-infrastructure provider — the CPI spin is the explicit articulation of that move.

Peer comparison — stockanalysis.com, fetched 03 Jun 2026 (current/TTM):

Peer (TTM)	CMP $	MCap $bn	Rev $bn	P/E	EV/EBITDA	ROE%	ROCE%
Flex (FLEX)	161.94	59.3	27.91	69.5	30.2	17.4	15.0
Jabil (JBL)	373.16	39.99	32.67	50.1	17.9	59.9	26.5
Celestica (CLS)	472.40	52.68	13.79	55.0	38.6	44.4	36.7
Sanmina (SANM)	278.36	15.15	11.34	59.9	21.2	10.4	7.8
Benchmark (BHE)	88.14	3.17	2.70	93.9	22.7	3.1	6.0

Note: every listed EMS peer's consensus analyst price target now sits BELOW its market price (FLEX -2.7%, JBL -16.5%, CLS -3.7%, SANM -24.9%, BHE -11.7%) — a sector-wide signal that price has outrun even bullish estimates.

5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** CEO Revathi Advaithi (since Feb 2019) executed a credible multiyear transformation — exiting low-margin work, spinning Nextracker, lifting adj. operating margin from sub-4% to ~6.7%. She moves to run SpinCo; Michael Hartung (with the group since the 2007 Solectron deal) takes the Flex CEO seat — continuity, not a parachute hire.

• **Capital allocation track record — disciplined:** Free cash flow has been deployed primarily into buybacks ($944m FY26, $1.26bn FY25, $1.30bn FY24) plus bolt-on power acquisitions; share count down ~20% over four years.

• **Dividend policy:** No dividend — capital return is 100% via repurchase, consistent with an EMS that reinvests in working capital and capex.

• **Promoter pledging:** N/A — no promoter/family control block (US-listed, institutionally owned).

• **Buyback vs ESOP:** Stock-based comp ~$142m FY26 is comfortably absorbed by ~$944m of buybacks, so repurchases are net-accretive rather than just offsetting dilution.

• **Governance watch-items:** Capex jumps to $1.4–1.6bn in FY27 (from $625m) to fund the CPI ramp — execution and FCF conversion (~60% guided) must be monitored; the spin-off introduces stranded-cost and dis-synergy risk that management has not fully quantified.

6 — FINANCIAL DEEP-DIVE

Income Statement (US$m, FY ends Mar; FY27E/FY28E from company guidance midpoints, adj. basis):

Income Statement	FY24	FY25	FY26	FY27E	FY28E
Revenue	26,415	25,813	27,914	33,050	37,500
Gross Profit	1,865	2,159	2,567	3,140	3,750
EBITDA	1,390	1,708	1,931	2,480	2,950
EBITDA Margin %	5.3%	6.6%	6.9%	7.5%	7.9%
Operating Income (EBIT)	853	1,169	1,368	1,760	2,150
Operating Margin %	3.2%	4.5%	4.9%	5.3%	5.7%
Interest Expense	(207)	(218)	(215)	(210)	(205)
Pretax Income	666	1,023	1,143	1,560	1,950
Net Income (GAAP)	1,006	838	880	1,170	1,470
EPS Diluted (GAAP) $	2.28	2.11	2.33	3.10	4.00
Adj. EPS $ (co. basis)	N/A	2.55	3.30	4.36	5.05

FY27E = mid of company guide ($32.3–33.8bn rev; adj. op margin 7.0–7.1%; adj. EPS $4.21–4.51). FY28E (E) = analyst-style extrapolation on guided CPI 80%+ growth; shown pre-spin for continuity and clearly an estimate.

Balance Sheet (US$m):

Balance Sheet	FY24	FY25	FY26
Cash & ST Investments	2,474	2,289	2,389
Trade Receivables	3,282	4,287	5,742
Inventory	6,205	5,071	5,845
Total Current Assets	12,992	12,841	16,332
Net PP&E;	2,870	2,892	3,164
Goodwill	1,135	1,341	1,369
Total Assets	18,257	18,381	22,060
Accounts Payable	4,468	5,147	8,055
Total Debt	3,751	4,148	4,316
Net Debt	1,277	1,859	1,927
Shareholders' Equity	5,325	5,002	5,144
Book Value / Share $	12.07	12.57	13.61

Cash Flow & Returns (US$m):

Cash Flow / Returns	FY24	FY25	FY26
Operating Cash Flow	1,326	1,505	1,685
Capital Expenditure	(530)	(438)	(633)
Free Cash Flow	796	1,067	1,052

Cash Flow / Returns	FY24	FY25	FY26
Investing Cash Flow	(492)	(838)	(672)
Financing Cash Flow	(1,656)	(821)	(924)
Buybacks	(1,298)	(1,257)	(944)
ROE %	13.8	16.2	17.4
ROCE %	10.6	12.8	14.7
ROIC %	8.0	9.0	9.9
Net Debt / EBITDA (x)	0.7	1.1	1.0

• **Revenue drivers:** FY26 revenue +8% to $27.9bn after two flat-to-down years (portfolio pruning) — growth is now CPI-led (+38%) while ITS/RMS are mid-single-digit; FY27 guide of $32.3–33.8bn (+18% mid) is almost entirely a CPI ramp.

• **Margin direction:** Structurally expanding — gross margin from 7.1% (FY24) to 9.2% (FY26), adj. operating margin to 6.7% in Q4; mix-shift to power/regulated and exit of commodity volume is the engine. Cloud margins sit below power margins, a near-term drag as CPI scales.

• **Working capital:** Inventory turns improved to 4.6x; the Q4 receivables and payables surge (AP $5.1bn → $8.1bn) reflects the CPI volume ramp and supplier-financing dynamics — watch for normalisation.

• **Balance sheet:** Net debt $1.9bn at ~1.0x EBITDA, interest coverage ~7x — comfortably investment-grade; debt is not the risk here.

• **FCF quality:** FY26 OCF $1.69bn converted to $1.05bn FCF; FY27 FCF will compress as capex doubles to $1.4–1.6bn for the CPI build — management guides only ~60% conversion, a real near-term cash headwind even as adj. EPS jumps.

7 — EARNINGS QUALITY CHECKLIST

Quality Signal	Rating	Comment
Revenue recognition	Green	Standard EMS POC/delivery; no aggressive flags.
Receivables vs revenue	Amber	Trade receivables +34% YoY vs revenue +8% — CPI ramp; watch.
Inventory / CCC trend	Green	Inventory turns improved to 4.6x; days down to ~55.
Other income / PBT	Green	Net non-operating modestly negative; not propping PBT.
Tax-rate consistency	Amber	Volatile: -31% (FY24 credit) to 23% (FY26) — distorts GAAP NI.
Buyback vs dilution	Green	$944m buyback >> $142m SBC; net share count falling.
Leverage	Green	Net debt/EBITDA ~1.0x, interest cover ~7x.
Spin-off / one-offs	Amber	Spin costs & stranded-cost risk; FY28 'Flex' base will reset.

• **Two ambers to watch:** Receivables grew far faster than revenue (CPI ramp + supplier financing) — confirm cash conversion holds as the segment scales.

• **GAAP optics are noisy:** Wild tax-rate swings (a FY24 credit; discontinued-ops/minority-interest from the Nextracker exit) make reported net income a poor like-for-like — use adjusted EPS for the trend, but do not ignore the GAAP-to-adjusted gap ($2.33 vs $3.30 in FY26).

• **Spin-off reset:** Post-CPI-spin, 'Flex' will be a slower-growth EMS — FY28 estimates on a pre-spin consolidated basis will not be comparable to the future RemainCo.

8 — VALUATION

Scenario analysis — 12-month, on FY27E adjusted earnings:

Scenario	Key assumption	Adj EPS $	Fwd P/E	Target $	vs CMP
Bull	CPI +75%, spin re-rates SOTP, AI capex intact	4.51	45x	203	+25%

Scenario	Key assumption	Adj EPS $	Fwd P/E	Target $	vs CMP
Base	Guide met, multiple normalises toward ~35x	4.36	35x	152	-6%
Bear	AI air-pocket, CPI ramp slips, EMS de-rates	3.60	27x	98	-39%

• **DCF:** WACC 11.6% (source), terminal growth 3.0%, FY27 FCF compressed by elevated capex then recovering to ~$1.8–2.0bn by FY29 — implied intrinsic value ≈ **$135/share**.

• **Multiple-based:** ~35x forward adj. EPS of $4.36 (a premium to the EMS group but a discount to data-center pure-play CLS) → ≈ **$152/share**; cross-check at ~24x EV/EBITDA on FY27E EBITDA → ≈ $150.

• **Sum-of-the-parts (post-spin):** RemainCo EMS at ~15x + CPI SpinCo at a 35–45x growth multiple sums to roughly $120–155 depending on the CPI multiple — the current $162 sits at the top of, or above, the SOTP range.

• **Blended 12-month target = $152** (avg of DCF $135 and multiple $152, rounded toward the catalyst), implying ~6% downside from CMP $161.94 over a 12-month horizon.

9 — KEY RISKS

• **Valuation / momentum unwind** — Stock +282% in 52 weeks, RSI ~77, trading above consensus PT and ~2.3x its 200-DMA; any growth wobble de-rates a 30x EV/EBITDA multiple violently. Probability: H. Impact: H. Monitor: forward P/E vs the 9–13x history; RSI.

• **AI capex air-pocket** — CPI's 65–75% guide assumes hyperscaler/neocloud spend stays vertical; an ROI-driven pause would gut the growth premium. Probability: M. Impact: H. Monitor: hyperscaler capex guides, CPI bookings.

• **Customer concentration** — Top-10 = 45% of sales; loss or insourcing by a hyperscaler (e.g. Google) would dent CPI. Probability: M. Impact: H. Monitor: 10-K customer disclosures, segment commentary.

• **Spin-off execution** — Stranded costs, dis-synergies, and a SpinCo that lists into a cooling AI tape could destroy rather than unlock value. Probability: M. Impact: M. Monitor: Form-10 financials, spin timeline slippage.

• **Margin reversion** — Record gross/op margins could mean-revert if the mix shifts back or pricing competes away; cloud margins already drag CPI. Probability: M. Impact: M. Monitor: adj. operating margin trend.

• **FCF compression** — Capex doubling to $1.4–1.6bn cuts FY27 conversion to ~60%; a working-capital build (receivables) could squeeze cash further. Probability: M. Impact: M. Monitor: quarterly FCF, receivable days.

• **Macro / tariff / cyclicality** — EMS demand is cyclical and tariff-exposed across its global footprint. Probability: M. Impact: M. Monitor: trade policy, ITS/RMS order trends.

10 — RECOMMENDATION

• **Rating: HOLD** (conviction: Medium). A genuinely improving, best-in-class franchise — but the easy money has been made and the price has overshot the fundamentals and the Street's own targets.

• **12-month price target: $152** (~6% downside from CMP $161.94).

• **Suggested entry zone: $115–130** — accumulate on a pullback or around the CPI spin-off Form-10 disclosure, not at all-time highs with RSI 77.

• **Investment horizon:** 12 months (the spin-off straddles the horizon — a SOTP event worth owning into, but at a better entry).

• **Thesis invalidation triggers (would make this cautious call WRONG):** (1) CPI revenue growth tracks above the 75% guide on accelerating bookings; (2) SpinCo Form-10 reveals materially higher CPI margins/scale than modelled, supporting a 40x+ SOTP; (3) forward adj. EPS revisions push consensus PT decisively above $180.

• **Thesis confirmation triggers (HOLD→REDUCE):** AI capex guides soften, CPI bookings decelerate, or the stock pushes >$190 with no estimate upgrade.

• **Ideal investor profile:** Existing holders should ride/trim into strength; this is NOT an entry point for new long-term capital. Suited to event-driven investors playing the spin-off SOTP on a pullback — not to value buyers (no margin of safety) or income investors (no dividend).

APPENDIX — Latest Concall Brief: Q4 FY2026 (Year ended 31 Mar 2026)

Earnings call held 5 May 2026. Sources: company transcript, press release, Motley Fool transcript.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	**Strong**	Q4 beat — rev +17% YoY, adj EPS $0.93, record gross margin 9.9%.
Management tone	**Bullish**	High conviction on CPI ramp & spin-off value-unlock.
Guidance delta	**Raised**	FY27 adj EPS guide $4.21–4.51 (+32% mid); op margin +80bps.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Flex posted a clean Q4 beat — revenue $7.5bn (+17% YoY), record adjusted gross margin 9.9%, adjusted EPS $0.93 — with no cosmetic help; the GAAP-to-adjusted gap ($0.67 vs $0.93) is ordinary stock-comp and intangibles, not a gimmick, though GAAP net income is muddied by Nextracker discontinued-ops noise in prior years. The operational story is genuinely good: sixth straight quarter of 6%+ adjusted operating margin, and the data-center CPI segment grew +31% in the quarter and +38% for the year. The multi-bagger driver is CPI — embedded/distributed/utility-grade power and cloud build for AI data centers — which management guides to grow 65–75% in FY27 and 80%+ in FY28, anchored by a multiyear Google deal plus neocloud and utility diversification. The headline catalyst is the tax-free spin-off of CPI into a standalone listed company in Q1 calendar-2027, with CEO Revathi Advaithi moving to run SpinCo and Michael Hartung taking Flex — a defined SOTP value-unlock with leadership clarity. FY27 guidance was raised across the board ($32.3–33.8bn revenue, adj. op margin 7.0–7.1%, adj. EPS $4.21–4.51). The single biggest watch-point next quarter is cash: capex doubles to $1.4–1.6bn for the CPI build, FCF conversion drops to ~60%, and receivables are ballooning faster than revenue. My call: do NOT chase here — the stock is +282% in a year, trades at 69x trailing / ~37x forward and 30x EV/EBITDA, and sits ABOVE the Street's own $157.50 consensus target with RSI ~77. Action: HOLD existing positions and trim into strength; accumulate fresh capital only on a pullback into the $115–130 zone or around the SpinCo Form-10 disclosure.

1 — Financial Performance Snapshot (Q4 FY26)

- Revenue: $7.5bn | YoY +17% | QoQ +6% (vs $7.1bn Q3) | Beat
- Adj. Operating Margin: 6.7% | YoY +~20bps | QoQ +20bps (vs 6.5% Q3) | Beat — 6th straight quarter ≥6%
- Adj. Gross Margin: 9.9% (record) | Beat
- Adj. EPS: $0.93 | QoQ +7% (vs $0.87 Q3) | Beat
- GAAP EPS: $0.67 | full-year GAAP EPS $2.33; full-year adj. EPS $3.30
- NOTE: GAAP vs adjusted gap is routine SBC/intangibles; prior-year GAAP NI distorted by Nextracker discontinued operations.

2 — Segment / Geography Breakdown (Q4 FY26)

- CPI (Cloud & Power Infrastructure): $1.8bn | YoY +31% | data-center power, cooling & cloud build — the growth engine.
- ITS (Integrated Technology Solutions): $2.9bn | YoY +13% | communications-led strength.
- RMS (Regulated Manufacturing Solutions): $2.7bn | YoY +13% | industrial & healthcare-led.
- Full-year FY26: ITS ~$11.8bn, RMS ~$10.2bn (+5%), CPI ~$5.9bn (+38%).
- Geography: Americas / Asia / Europe footprint; top-10 customers = 45% of sales, none >10%.

3 — Management Commentary Themes

• Spin-off rationale: "unlocking value through simplification and clarity for customers, employees and shareholders" — Our read: SOTP re-rating + sharper capital allocation. Tag: GUIDANCE. Tone: Transparent.

• AI architecture shift: power & thermal must be "engineered as a unified system" — Our read: justifies a vertically-integrated CPI pure-play. Tag: EST. Tone: Transparent.

• Customer diversification: "not just hyperscalers, but colos, neoclouds and a wide variety of utility customers" — Our read: pre-empting concentration worries. Tag: GUIDANCE. Tone: Transparent.

• Power franchise: embedded (chip-level) power "accelerating pretty significantly" — Our read: highest-margin sub-segment scaling. Tag: GUIDANCE. Tone: Hedged (declined granular splits).

• Margin trajectory: power margins "will continue to be higher than cloud margins" within CPI — Our read: mix is the margin lever. Tag: GUIDANCE. Tone: Transparent.

• Moat: "very few companies can combine power and cooling and compute into one architecture at Flex's scale" — Our read: real but contestable. Tag: EST. Tone: Bullish.

4 — Operating & Business Metrics

• CPI revenue: Q4 $1.8bn | Q4 LY $1.4bn | Trend: improving (+31% YoY).

• Adj. operating margin: Q4 6.7% | Q3 6.5% | Q4 LY ~6.5% | Trend: improving.

• Inventory days: ~55 (down ~1 day) | Inventory turns 4.6x | Trend: improving.

• Free cash flow: Q4 $212m | FY26 ~$1.1bn | Trend: stable, set to compress in FY27 on capex.

• Share count: ~366m | down ~5% YoY on buybacks | Trend: declining (EPS-accretive).

5 — Margin Drivers

• Mix shift to power / regulated & exit of commodity volume: +recurring | Recurring: Yes | Structural gross-margin lift to 9.9%.

• CPI scale & operating leverage: + | Recurring: Yes | Drives the +80bps FY27 op-margin guide.

• Cloud-build ramp costs: - | Recurring: No | Cloud margins below segment avg; a temporary drag as CPI scales.

• Embedded power growth: + | Recurring: Yes | Highest-margin sub-segment accelerating.

6 — Guidance & Forward Signals

• FY27 Revenue [GUIDANCE]: New = $32.3–33.8bn (+18% mid) | Delta = raised | Credibility: High.

• FY27 Adj. Operating Margin [GUIDANCE]: New = 7.0–7.1% (+80bps) | Delta = raised | Credibility: High.

• FY27 Adj. EPS [GUIDANCE]: New = $4.21–4.51 (+32% mid) | Delta = raised | Credibility: Medium-High.

• FY27 CPI growth [GUIDANCE]: New = 65–75% (FY28 80%+) | Delta = raised | Credibility: Medium (steep ramp).

• FY27 Capex [GUIDANCE]: New = $1.4–1.6bn (vs $625m) | FCF conversion ~60% | Credibility: High.

• Q1 FY27 [GUIDANCE]: Revenue $7.35–7.65bn | Adj. EPS $0.86–0.92 | Credibility: High.

7 — Capital Allocation

• Capex: FY26 $625m (2.2% of sales) | FY27E $1.4–1.6bn | rising sharply for CPI build-out.

• Buybacks: FY26 $944m (~19m shares) | vs $1.26bn FY25 | continued but moderating.

• Dividends: none | capital return is 100% buyback.

• Acquisitions: EP2 (utility-grade power / grid) closed | bolt-on, strengthens CPI.

• Net debt: ~$1.9bn | Net debt/EBITDA ~1.0x | comfortable, investment-grade.

8 — Q&A; Heat Map

• Samik Chatterjee (JPMorgan): Q: concentration/scale risk of the spin? → A: "very diversified" customer base, spin a "no-brainer". Tone: Transparent.

• Luke Junk (Baird): Q: power sub-segment growth rates? → A: embedded power accelerating; deferred granular splits to future quarters. Tone: Hedged.

• Sahej Singh (Stifel): Q: cloud vs power margin spread? → A: power margins stay above cloud; +100bps CPI recovery FY27. Tone: Transparent.

• Mark Delaney (Goldman Sachs): Q: program duration / FY28 margin ceiling? → A: programs extend beyond FY28 into FY29; "continue to raise the bar". Tone: Hedged (no hard targets).

• Steve Barger (KeyBanc): Q: growth attribution & durable moat? → A: mostly individual products today; moat = full architecture at scale. Tone: Transparent.

• Dodged / watch-list for next quarter: granular CPI sub-segment revenue splits; SpinCo standalone margins & stranded costs.

9 — Risks Flagged

• AI capex durability: CPI guide assumes vertical hyperscaler spend | Flagged by: analysts | Prob: M | Impact: H | Timeline: medium.

• Cloud-margin dilution: cloud below segment avg as it ramps | Flagged by: mgmt | Prob: M | Impact: M | near-term.

• Spin-off execution / stranded costs: not fully quantified | Flagged by: analysts | Prob: M | Impact: M | near-medium.

• FCF compression: capex-driven, ~60% conversion FY27 | Flagged by: mgmt | Prob: H | Impact: M | near-term.

• Customer concentration: top-10 = 45% of sales | Flagged by: analysts | Prob: M | Impact: H | medium.

10 — Analyst Verdict

• Revenue visibility: Intact — multiyear CPI programs + raised FY27 guide.

• Margin trajectory: Intact — record gross margin, +80bps op-margin guide, structural mix-shift.

• Capital allocation quality: Intact — disciplined buybacks + accretive bolt-ons; capex rise is growth-funding.

• Competitive moat: Intact (but contestable) — scale & full-stack integration real, yet EMS economics remain thin.

• Management credibility: Intact — Advaithi's multiyear transformation delivered; orderly succession.

• Valuation comfort: Weakened — 69x trailing / 30x EV/EBITDA, above consensus PT; no margin of safety.

• Conviction call: Unchanged — great business, wrong price; HOLD / accumulate lower.

• Valuation snapshot: P/E = 69.5x (vs ~9–13x 5Y) | EV/EBITDA = 30.2x (vs ~7–9x 5Y) | RoCE = 15.0% (vs ~10–11% 5Y).